DE–3891 **11**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

First Semester

MANAGEMENT CONCEPTS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the nature of management.

2. What actions can be taken for the successful implementation of a strategy?

3. State the essentials of a good organisation structure.

4. 'Management is essentially a process of motivation' - Explain.

5. Explain the importance of control in a business organisation.

6. Write a note on: Bench marking.

7. Explain briefly the 'traits theory' of leadership.

8. How delegation can be made more effective?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the contribution made by Henry Fayol to management thought.

10. "Decision making is the primary task of management". In the light of this statement, discuss the process of decision making.

11. What is span of control? Explain the factors that decide the span of control.

12. Discuss the barriers of communication. What steps can be taken to overcome the barriers?

13. Describe the techniques for achieving coordination. What problems are to be encountered in the process?

14. Discuss in brief the recent trends and new perspectives in management.

15. Define planning and discuss the important characteristics of planning.

DE–3892 **12**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

First Semester

MANAGERIAL ECONOMICS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the scope of Managerial Economics.

2. What is Law of Demand? What are its characteristics?

3. Write a note on "Cross Elasticity of Demand".

4. What are the essentials for the success of a cost Reduction programme?

5. State the managerial uses of production functions.

6. What are the conditions for price Discrimination?

7. What is Profit? State the functions of Profit.

8. State the reason for price Inflexibility.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the role of Managerial Economist.

10. Explain the factors Determining Advertising Elasticity of demand.

11. What is cost? Explain the importance of cost determinants.

12. Explain the production function with One variable and Two variable Input.

13. Explain the reasons of Profit Maximisation.

14. Discuss the minimizing effects of Business cycles.

15. Discuss the Long-run considerations which effect the price policies of monopolist.

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DE–3893 **13**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

First Semester

GENERAL LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the salient features of the Indian Constitution?

2. Discuss the primary and other rules of interpretation.

3. Write a note on hierarchy of courts.

4. What are the essentials of a valid transfer of property?

5. Distinguish between mortgage and charge.

6. State the essentials of an arbitration agreement.

7. What are the consequences of Non-stamping and under stamping?

8. Discuss the miscellaneous provisions relating to Registration Act, 1908.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Are fundamental rights available to all persons? Enumerate these rights.

10. Discuss the jurisdiction and structure of civil courts.

11. Describe the properties which cannot be transferred under the transfer of property Act, 1882.

12. When can a court appoint an arbitrator or umpire? What is the procedure for such appointment?

13. Explain the compulsory and optional registerable documents.

14. Explain the methods of stamping.

15. What are the provisions relating to allowance and refund in Indian Stamp Act, 1989.

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

First Semester

COMPANY LAW

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. "A company is a artificial person created by law with a perpetual succession and common seal." – Explain.

2. Set out the restrictions imposed on the choice of a name for a company. How can a company change its name?

3. When and how shares may be forfeited? What is the legal effect of forfeiture?

4. Explain the legal provisions relating to debentures.

5. How the directors of a company are appointed?

6. What are the different types of resolutions which may be passed in a meeting of the shareholders?

7. What charges must be registered with the registrar of companies? Who can register the charge?

8. Write notes on :

   (a) Index of members

   (b) Annual return.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain clearly the meaning of 'lifting of corporate veil'. In what circumstances can veil of the corporate personality be lifted?

10. What are the contents of articles of association? How can articles of association be altered?

11. State the procedure to be followed for redemption of preference shares. Can a company redeem its irredeemable preference shares?

12. Describe in brief the different methods of borrowings.

13. Discuss the statutory provisions relating to the appointment, reappointment and payment of remuneration to the managing director of a public limited company.

14. Discuss the different kinds of a meetings of a company. State the legal rules for a valid meeting.

15. Explain the modes of acquiring membership of a company. How the membership of a person terminates?

DE–3895 **15**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

First Semester

CORPORATE ACCOUNTING

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What do you mean by Insurance? Explain the purpose of creating reserve for unexpired risk. State its account treatment.

2. Discuss about the national and international accounting standards.

3. A company issues 10,000 equity shares of Rs. 100 each at par and 500 debentures of Rs. 1,000 each @ Rs 950. The whole of the issues seen underwritten by M/s P. Bhalla & Co. for commission of 2 per cent on shares and 1 per cent or debentures were applied for. All applications were accepted. Give journal entries.

4. Ganesh Ltd., was registered on 1.7.97 to acquire the running business of Suneel & Co., with effect from 1.1.97. The following was the profit and Loss A/c of the company on 31.12.1997.

Particulars	Rs.	Particulars	Rs.
To office expenses	54,000	By Gross Profit b/d	2,25,000
To Formation expenses (written off)	10,000		
To Stationery and Postage	5,000		
To Selling Expenses	60,000		
To Directors' Fees	20,000		
To Net Profit	76,000		
	2,25,000		2,25,000

Prepare a statement showing profit earned by the company in the pre and post incorporation periods. The total sales for the year took place in the ratio of 1:2 before and after incorporation respectively.

5. A limited company issued 10,000 equity shares of Rs. 10 each payable as under :
Rs. 2 on application; Rs 5 on allotment: Rs 3 on final call. The public applied for 8,000 shares which were allotted. All the money due on shares was received except the final call on 100 shares. These shares were forfeited and re-issued at Rs 8 per share. Show the journal entries in the books of the Company.

6. From the following particulars, determine the maximum remuneration available to a full time director of a manufacturing company.

The Profit and loss Account of the company showed a net profit of Rs. 40,00,000 after taking into account the following items :

(a)	Depreciation (including special depreciation of Rs. 40,000)	1,00,000
(b)	Provision for income tax	2,00,000
(c)	Donation to political parties	50.000
(d)	Ex-gratia payment to a worker	10,000
(e)	Capital profit on sale of assets	15,000

7. The summarized balances sheets of H Ltd. and S Ltd as on March 31 were as follows :

Liabilities	H Ltd	S Ltd	Assets	H Ltd	S Ltd
	Rs.	Rs.		Rs.	Rs.
Share Capital			Sundry Assets	6,00,000	3,00,000
Shares of Rs. 100 each	5,00,000	2,00,000	1,500 shares in S Ltd	2,40,000	
Reserves	1,40,000	50,000			
Profits	1,00,000	30,000			
Creditors	1,00,000	20,000			
	8,40,000	3,00,000		8,40,000	3,00,000

S Ltd had a credit balance of Rs. 10,000 in the reserves when H Ltd acquired shares in it. S Ltd made bonus issues of one shares for every five shares held, all out of the post acquisition profits. Calculate the cost of control before and after the bonus issue and prepare the consolidated balances sheet.

8. The trial balance of the Nedungadi bank Ltd as on 30th June 2009 shows the following balances.

Interest and discounts	Rs. 45,40,600
Rebate on bills discounted (1.7.2008)	Rs 4,750
Bills discounted and purchased	Rs. 3,37,400

The unexpired discount as on 30.6.2009 is estimated to be Rs. 5,560. Draft necessary adjusting entries and calculate the amount of interest and discount to be credited to profit and loss account.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Distinguish between amalgamation, absorption and external reconstructions with suitable examples.

10. A Ltd and B Ltd agreed to amalgamate and form a new company C Ltd. which will take over all the assets and liabilities of the two companies. In the case of A Ltd. the assets and liabilities are to be taken over at the book value for shares in C Ltd at the rate of five shares in C Ltd at 10 % premium (i.e. Rs 11 per share) for every four shares in A Ltd. In the case of B Ltd. :

    (a) The debentures of B Ltd would be paid off by the issue of an equal number of debentures in C Ltd at a discount of 10 %

    (b) The holders of 6 % preference shares of B Ltd would be allotted four, 7 % preference shares of Rs. 100 each in C Ltd. for every five preference shares in B Ltd.

    (c) The equity shareholders would be allotted sufficed shares in C Ltd to cover the balance on the accounts after adjusting asset values by reducing plant and machinery by 10% and providing 5% on sundry debtors. The summarized balances sheets of the two companies just prior to amalgamation were as follows :

Liabilities	A Ltd	B Ltd	Assets	A Ltd	B Ltd
	Rs.	Rs.		Rs.	Rs.
Share Capital (Rs. 10 each)	4,00,000	5,00,000	Plant and Machinery	8,00,000	8,00,000
6% preference Shares of Rs. 100 each	–	3,00,000	Stock	65,000	60,000
4% Debentures	–	2,00,000	Debtors	95,000	50,000
P/L A/c	5,00,000	–	P/L A/c	–	1,40,000
Contingency Reserves	50,000	–	Bank	65,000	40,000
Creditors	75,000	90,000			
	10,25,000	10,90,000		10,25,000	10,90,000

Show the journal entries in the books of A Ltd and B Ltd and show the balances sheet Ltd.

11. Rakesh Ltd., issued 10,000 shares of Rs. 10 each at Rs. 11 per share. Share money was payable as below :

On application Rs. 2 per share;

On allotment Rs. 5 per share and

On call Rs. 4 per share.

The offer was oversubscribed by 5,000 shares and the applications were allotted shares on a pro-rate basis. Surplus application money was adjusted for future share dues. All shares were fully called up and money was received except on 300 shares of Rakim who did not pay allotment and call money. These shares were forfeited. Give cash book and journal entries.

12. New Industries Ltd. present you with the following trial balance as on 30th June 2010.

Trial Balance

	Rs.		Rs.
Land and Buildings (cost Rs. 4,00,000)	3,10,000	Share capital (fully paid)	4,00,000
Plant and machinery (cost Rs. 4,50,000)	3,40,000	Share Premium	40,000
Preliminary Expenses	15,000	General Reserve	1,00,000
Stock (1.7.89)	65,000	Profit and Loss A/c	25,000
Purchases	3,30,000	Bank loan (1.1.90 at 6%)	2,00,000
Salaries	50,000	Sundry creditors	35,000
General expenses	15,000	Sales	6,00,000
Director's fees	3,000		
Auditor's fees	2,000		
Wages	60,000		
Manufacturing Expenses	20,000		
Carriage	5,000		
Advertising	20,000		
Sundry Debtors	60,000		
Goodwill	90,000		
Bank	15,000		
	14,00,000		14,00,000

The company had an authorised capital of Rs. 10,00,000 divided into shares of Rs. l00 each. The company had issued 2,000 shares to vendors as fully paid.

The closing stock on 30th June 2010 was Rs. 55,000. The M.D. is entitled to a commission of 5% on net profits

before income tax and his commission. General expenses include prepaid rates totalling Rs 300. A provision for income tax to the extent of Rs. 15,000 is desired and the directors recommended a dividend at 5%. Depreciation should be written off on Plant and machinery at 10% and at 2% on 'and & Building at cost.

Prepare Trading and profit and loss A/C for the year ended 30th June 2010 & Balance Sheet as at that date.

13. The balance sheet of Indian Constructions Ltd. as on December 31, 2009 was follows :

Balance Sheet

Liabilities	Rs.	Rs.	Assets		Rs.
12,000 shares of Rs. 10 each	1,20,000		Goodwill		10,000
Less : Arrears	9,000	1,11,000	Land and Buildings		20,500
(3,000 shares @ Rs. 3)					
Sundry Creditors		15,425	Machinery		50,850
Provision for Taxes		4,000	Preliminary Expenses		1,500
			Stock		10,275
			Book Debts		15,000
			Cash at Bank		1,500
			P and L A/c		
			Balance as per Last Balance Sheet	22,000	
			Less : Profit for the year	1,200	20,800
		1,30,425			1,30,425

A valuation of machinery reveals that its over valued by Rs. 10,000. Its is proposed to written down this assets to its true value, to eliminate the deficiency in the profit and loss account to write off goodwill and preliminary expenses by adopting the following course :

(a) Forfeit the shares on which call is outstanding

(b) Reduce the paid up capital by Rs. 3 per share., face value remaining the same.

(c) Reissue the forfeited shares at Rs. 5 per share

(d) Utilize the provision for taxes if necessary

All the above were duly put into action. Pass necessary journal entries and draw up the balances sheet of the Company after carrying out the terms of the scheme.

14. The summarized balance sheets of Honey Ltd. and Moon Ltd. as on December 31 2009, were as follows :

Liabilities	Honey Ltd (Rs.)	Moon Ltd (Rs.)	Assets	Honey Ltd (Rs.)	Moon Ltd (Rs.)
Capital :			Plant	1,20,000	54,700
2,500 Equality Shares @ Rs. 100	2,50,000	–	Premises	75,000	90,000
1,000 equity shares @ Rs. 100	–	1,00,000	Investments (in Moon Ltd. at cost)	1,70,000	–
Capital Reserve		60,000	Stock	70,000	18,000
General Reserve	1,20,000		Debtors	21,000	20,000
Profit and Loss Account	28,600	18,000			
Bank Overdraft	50,000	–	Amount owing by Moon Ltd	1,000	–
Bill Payable (including Rs. 1,500 to Honey Ltd.)	–	4,200	Bank	7,250	4,000
Creditors	23,500	–	Bills receivable (including Rs. 1,500 from Moon Ltd)	7,900	–
Creditors :					
Honey Ltd	–	500			
Others	–	4,000			
	4,72,150	1,86,700		4,72,150	1,86,700

Honey Ltd acquired 800 equity shares of Rs. 100 each in Moon Ltd., on April 1, 2009. Prepare a consolidated

Balance sheet as on December 31, 2009, showing your workings.

(a) Sundry Creditors of Honey Ltd. included Rs. 6,000 due to Moon Ltd.

(b) The directors are advised that the premises of Moon Ltd., are under valued by Rs. 10,000 and its plant overvalued by Rs. 5,000.

(c) A Cheque for Rs 500 sent to Honey Ltd. by Moon Ltd., on December 30, 2009 was not received by the former until January 3, 2010.

15. The Balances extracted from the books of the Punjab National Bank Ltd on 31.03.1993 were as under.

Particulars	Rs.
Paid up capital	10,00,000
Local bills discounted	9,00,000
Reserve Fund	3,85,000
Cash credit and O.D	14,00,000
Unclaimed dividend	5,000
Loans	23,00,000
Current and SB deposits	25,00,000
Furniture	20,000
Fixed deposits	12,00,000
Recurring deposits	8,00,000
P&L A/c (Cr.)	1,10,000
Stock of stamps	5,000
Cash in hand	2,50,000
Cash at bank	6,50,000
Investments (at cost)	4,75,000

The directors require the banks investments to be shown in the balance sheet at market value on 31.03.93 which is Rs. 5,25,000. The authorised capital of the bank is Rs. 12,00,000. The bank has Rs. 50,000 bills for collection and has accepted bills for customers for Rs. 4,00,000. Liability on bills of exchange rediscounted amounts to Rs. 2,00,000.

Prepare the Balance Sheet of the bank as on 31.03.93 in the form prescribed under the Banking Companies Act.

DE–3896 **21**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

Second Semester

HUMAN RESOURCE MANAGEMENT

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Compare and contrast human resource management with personnel management.

2. Explain the following terms:

   (a) Job description and

   (b) Job specification.

3. State the difference between recruitment and selection.

4. Explain the factors that affect executive compensation.

5. What are the statutory provisions regarding employee health in industrial orgnisations?

6. What is personnel audit? Explain its objectives.

7. Discuss the need for promotion in an organisation.

8. What is bonus? How will you link bonus and productivity?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What are personnel principles and policies? Describe the important personnel policies that affect the job of a personnel manager.

10. What is Human Resource Planning? Discuss its characteristics.

11. What are different types of transfer? Explain the various aspects of a sound transfer policy in an organisation.

12. What are the various methods through which a job may be evaluated? Discuss their relative merits and demerits.

13. Explain the meaning of discipline. Discuss the objectives of maintaining discipline in an organisation.

14. Describe the nature and importance of personnel research.

15. Discuss briefly the various on-the-job and off-the-job training and development methods.

DE–3897 **22**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

Second Semester

BANKING AND INSURANCE LAWS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What do you mean by commercial banks? State the objectives of commercial banks.

2. Describe the importance of E-banking.

3. What is relationship management? Describe its importance.

4. State the differences between promissory notes and bills of exchange.

5. Elaborate the precautions to be taken by a banker while lending advances against goods.

6. Bring out the objectives of Insurance Regulatory and Development Authority.

7. List out and explain the principles of contract of insurance.

8. Write a brief note on risk insurance management process.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Critically examine the recent developments of banking sector in India.

10. Bring out and explain the functions of Reserve Bank of India.

11. Discuss the circumstances in which the banker refuses to honour the customer's cheque.

12. List out and discuss the factors determining the level of advances to business.

13. Elaborate the role of Government in promoting private sector Insurance.

14. Explain the different classifications of insurance in India.

15. State and explain the functions of insurance companies in India.

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DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

Second Semester

DIRECT TAXES

(2005 onwards)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the concept of income and give its features.

2. Define the term perquisite and how are they treated for income-tax purposes?

3. What are the powers of Commissioner of Income Tax?

4. Explain the provisions of appeals and refunds in Wealth Tax.

5. Mr. Babu is the owner of a house property in Kanpur. It has been let out for ₹ 90,000. The tax payable by the owner comes to ₹ 8,400 on municipal valuation of ₹ 84,000 but the landlord has taken an agreement from the tenant stating that the tenant would pay tax direct to the municipality. The landlord, however, bears the following expenses on tenant's amenities :

	₹
Water charges (as per agreement)	1,000
Lift maintenance	1,000
Salary of gardener	1,200
Lighting of stairs	800

The landlord claims the following deductions :

Repairs	30,000
Land revenue	1,000
Collection charges	2,000

Legal charges incurred on purchase of land on which house property is situated ₹ 24,000. Compute the taxable income from house property.

6. From the following particulars compute the total income of Mr. David for the assessment year 2011–12 :

	₹
Loss from house property	(–) 80,000
Short term capital gain on sale of shares	95,000
Long term capital loss on sale of bonds	(–) 85,000
Other sources : Interest on government securities	18,000

The assessee has unabsorbed depreciation of ₹ 35,000 being brought forward from 2008–09. Assessee had closed the business and all the assets have been disposed of.

7. A and B are active partners and C and D are sleeping partners in a firm. A profit and loss account drawn for the year ending 31.3.2011 shows a profit of ₹ 25,000. The profit has been arrived at after allowing salary and interest to partners as follows :

	A	B	C	D
Salary	25,000	23,000	–	–
Interest @ 9%	2,000	4,000	6,000	3,000

Further the long term capital gains of the firm are ₹ 40,000. Partners shares the profit or loss equally. Compute the total income of the firm and its tax liability. Interest to all partners and salary to active partners has been paid as per deed.

8. Find out the inflated cost in following cases (separately for each case) for the assessment year 2011–12 :

		₹
(a)	Cost of plot acquired in 1986–87 for	80,000
(b)	Cost of house purchased in 1979–80 for	90,000
	Fair market value on 1.4.81 being	1,50,000
(c)	Cost of house purchased in 1976–77 for ₹ 2,00,000 but F.M.V. on 1.4.81	4,00,000

[C.I.I. for 1981-82 = 100, for 1986-87 = 140, for 1988-89 = 161 and for 2010-11 = 711]

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the exempted incomes U/S 10.

10. What do you understand by the qualifying amount U/S 80 C? Who is entitled to it and what are the provisions of the Act in this connection?

11. Discuss the procedure for computation of net wealth and return of wealth in Wealth Tax Act.

12. Mr. X an employee of Ranchi (population 15 lakhs) based company provides the following particulars of his salary income :

		₹
(a)	Basic salary	12,000 p.m.
(b)	Profit bonus	12,000
(c)	Commission on turnover achieved by Mr. X	42,000
(d)	Entertainment allowance	2,000 p.m.
(e)	Club facility	6,000
(f)	Transport allowance	1,000 p.m.

		₹
(g)	Free use of car of more than 1.6 lt. capacity for both personal and employment purposes; expenses are met by employer	
(h)	Rent free house provided by employer. Lease rent paid by employer	6,000 p.m.
(i)	Free education facility for three children of the employee : (Bills issued in the name of employer)	22,500
(j)	Gas, water and electricity bills issued in the name of employee but paid by employer	16,800

Compute income under the head salary for the assessment year 2011–12.

13. Dr. Sathish is a medical practitioner. He gives you the following summary of cash book for the year ending 31.3.2011.

		₹			₹
To	Balance	10,000	By	Rent of clinic	18,000
To	Consultation fee	60,000	By	Purchase of medicine	38,000
To	Visiting fee	45,000	By	Staff salaries	24,000
To	Gifts and presents	8,000	By	Surgical equipment	40,000
To	Sale of medicine	42,000	By	Motor car expenses	8,000
To	Dividend from U.T.I.	6,000	By	Purchase of motor car	1,40,000
To	Life Insurance maturity	1,00,000	By	Household expenses	7,000
To	Dividend from N.D.S.	6,000	By	Closing balance	2,000
		2,77,000			2,77,000

Other information :

(a) 50% of the motor car expenses incurred in connection with profession. Car was purchased in December 2010.

(b) Household expenses include ₹ 6,800 insurance premium.

(c) Gift and presents include ₹ 3,00 from relatives.

(d) Closing stock for medicine ₹ 12,000 and opening stock on 1.4.2010 was ₹ 4,000.

Compute his professional gain for the assessment year 2011–12.

14. The following are particulars of income of Mr. Behl for the Assessment Year 2011–12 :

		₹
(a)	Income from house property (computed)	61,200
(b)	Business income	80,000
(c)	Dividends (gross) from a co-op. society	500
(d)	Long-term capital gain : Long term	
	(i) from land	1,000
	(ii) from jewellery	800

(e) He paid ₹ 28,000 as life insurance premium on his own life on a policy of ₹ 2,00,000.

(f) He gave ₹ 20,000 as donation to a charitable institution approved under Section 80 G.

(g) During the year he deposited ₹ 20,000 in an equity linked Saving Scheme (Dhan 80) notified U/S 80 C.

(h) He deposited ₹ 12,500 in National Saving Scheme 1992.

(i) Interest accrued on N.S. Certificates VIII issue purchased in Nov. 2009 for ₹ 30,000 is ₹ 2,260.

Compute his Total Income.

15. Mr. Pawar had only one house in Mumbai which he happens to sell on 10th October, 2010 [C.I.I. for 2010-11 = 711] for ₹ 25,00,000 lakhs. His expenses are as follows :

	₹
Cost of plot	1,00,000
Date of purchase of plot 15.12.83 [C.I.I. : 116]	
Cost of construction in 1984-85 [C.I.I. : 125]	1,20,000
Additions made in 1986-87 [C.I.I. : 140]	80,000

He makes the following investments :

Purchase of Notified Bonds of National Highway Authority of India on 12th March 2011 for ₹ 1,00,000. Purchase of a shop on the same day for ₹ 2,00,000. Investment of ₹ 1,00,000 was made in Government securities on 8th April 2011 ₹ 5,00,000 was deposited in a Nationalised Bank on 20th June 2011 to be utilised for the purchase or construction of a residential house. Assume that on 20th March 2012 he withdraws the amount from the bank and purchased a residential house in Delhi for ₹ 4,00,000.

Determine the taxable amount of capital gains during the relevant previous year.

DE–3899 **24**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

Second Semester

ADVANCED COMPANY LAW

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State the statutory provisions with regard to unpaid dividends.

2. Write a note on supremacy of majority.

3. State the winding up process in USA.

4. What is Investigation? What are its objects?

5. Explain briefly the growth of multinationals.

6. Discuss briefly the concept of insider trading.

7. Explain briefly the consequences of a winding up order.

8. State the law relating to the preparation and presentation of balance sheet and profit and loss account of a company.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the meaning of dividend. What are the rules regarding payment of dividend? Can dividends be paid out of capital?

10. Define oppression and mismanagement. What remedy or relief is open to the minority share holders against oppression and mismanagement.

11. Who is an official liquidator? Explain his duties and powers.

12. When should the inspector appointed to conduct investigation into the affairs of a company submit his report? What action should Central Government take on receipt of the inspector's report?

13. Enumerate the distinguishing features of company law in Australia and Europe.

14. Discuss the brief the rights, duties and liabilities of auditors under the Companies Act, 1956.

15. What are the different classes of voluntary winding up provided by the companies Act and indicate the procedures to be adopted for commencement of such winding of proceedings?

DISTANCE EDUCATION

M.B.A. (C.S.) DEGREE EXAMINATION, MAY 2012.

Second Semester

COST AND MANAGEMENT ACCOUNTING

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the procedure for establishing a costing system.

2. Define management accounting and state its tools and techniques.

3. Following information relates to the manufacturing of a component A-621 in a cost centre :

Cost of materials	6 paise per component
Operator's wages	72 paise an hour
Machine hour rate	Rs. 1.50
Setting up time of the machine	2 hours and 20 minutes
Manufacturing time	10 minutes per component

Prepare cost sheets showing both production and setting up costs – total and per unit when a batch consists of :

(a) 10 components

(b) 100 components and

(c) 1,000 components.

4. A factory produces a standard product. The following information is given to you from which you are required to prepare cost sheet for the period ended on 31st July 2011.

Consumable Materials :

Opening stock	Rs. 10.000
Purchases	Rs. 85,000
Closing stock	Rs. 4,000
Direct wages	Rs. 20,000
Other direct expenses	Rs. 10,000
Factory overheads	100% of direct labour
Office overheads	10% of works cost
Selling and distribution expenses	Rs. 2 per unit sold
Units of finished product :	
In hand at the beginning of the period	Rs. 1,000 (value Rs. 16,000)
Produced during the period	Rs. 10,000
In hand at the end of the period	Rs. 2,000.

Also, find out the selling price per unit on the basis that profit margin is uniformly made to yield a profit of 20% of the selling price. There was no work-in-progress either at the beginning or at the end of the period.

5. Rajesh Transport Company has been a route 20 km long to run a bus. The bus costs the company a sum of Rs. 50,000. It has been insured at 3% p.a. and the annual tax will amount to Rs. 1,000. Garage 'rent is Rs. 100 p.m. Annual repairs will be Rs.1,000 and the bus is likely to last for 5 years.

The driver's salary will be Rs. 150 per month and the conductor's salary will be Rs. 100 per month in addition to 10% of the takings as commission (to be shared by the driver and the conductor equally). Cost of stationary will be Rs. 50 per month. Manager-cum-accountant's salary is Rs. 350 per month.

Petrol and oil will be Rs. 25 per 100 km. The bus will make 3 round trips carrying on the average 40 passengers on each trip. Assuming 15% profit on takings. Calculate the bus fare to be charged from each passenger. The bus will run on an average 25 days in a month.

6. Discuss the nature and importance of financial statements.

7. What is funds flow statement? Examine its managerial uses.

8. From the following data, calculate :

   (a) Break even point expressed in amount of sales in rupees.

   (b) Number of units that must be sold to earn a profit of Rs. 1,20,000 per year.

   (c) How many units are to be sold to earn a net income of 15% of sales?

Particulars	Rupees
Selling price per unit	40
Variable manufacturing cost per unit	22
Variable selling cost per unit	3
Fixed factory overheads	1,60,000
Fixed selling cost	20,000

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the different classification of costs.

10. The following information for the year ending December 31, 2010 is obtained from the books and records of a factory :

Particulars	Completed jobs in rupees	Work-in-progress in rupees
Raw materials supplied from stores	90,000	30,000
Wages	1,00,000	40,000
Chargeable expenses	10,000	4,000
Materials transferred to work-in-progress	2,000	2,000
Materials returned to stores	1,000	–

Factory overheads is 80% of wages and office overheads 25% of factory cost. The value of executed contracts during 2010 was Rs. 4,10,000. Prepare

(a) consolidated completed jobs account and

(b) consolidated work-in-progress account.

11. Anbu Contractor obtained a contract for Rs. 6,00,000 on 1st January 2010. The expenses incurred during the year ended 31st December 2010 were as under. Materials Rs. 1,80,000, wages paid Rs.1,60,000, wages accrued Rs.10,000 and other expenses Rs. 25,000. The plant, specially installed for the contract worth Rs. 45,000 was returned to stores subject to a depreciation of 20%. Materials on 31st December 2010 were valued at Rs. 24,000.

Up to 31st December 2010, the contractor had received Rs. 3,60,000 in cash representing 80% of the work certified. Work uncertified was estimated at Rs. 4,000. Prepare

(a) Contract account,

(b) Contractee's account and

(c) Balance sheet as on 31st December 2010.

12. A product passes through three process viz Process 1, Process 2 and Process 3. The normal wastage of each process is : Process. 1 : 3%. Process 2 : 6% and Process 3 : 10%.

The percentage of normal wastage in each case is computed on the basis of the number of units entering the process concerned. The wastage of Process 1 is sold @ 25 paise per unit, that of Process 2 is sold @ 50 paise per unit, and that of Process 3 is sold @ Re.1 per unit. The other expenses are : 15,000 units of crude material were introduced in Process 1 @ Re. 1 per unit.

Particulars	Process 1 in Rupees	Process 2 in Rupees	Process 3 in Rupees
Materials consumed	1,500	2,250	750
Direct labour	7,500	12,000	9,750
Manufacturing expenses	1,575	1,425	3,015

The output of each process has been as follows :

Process 1 : 14,250,

Process 2 : 13,650 and

Process 3 : 12,012.

Prepare process cost accounts and abnormal wastage and abnormal effective accounts.

13. The following costs and sales of a manufacturing company for the first half and second half of 2009 – 2010 are given :

Particulars	First half in rupees	Second half in rupees
Sales	24,00,000	30,00,000
Total costs	21,80,000	26,00,000

You are asked to determine :

(a) Contribution / sales ratio of the firm

(b) Annual fixed costs

(c) Break even point and

(d) Margin of safety as percentage of sales.

14. The financial position of M/s. Monika Traders on January 1 and December 31, 2010 was as follows :

Liabilities	1st January in rupees	31st December in rupees	Assets	1st January in rupees	31st December in rupees
Current			Cash	4,000	3,600
liabilities	36,000	40,600	Debtors	35,000	38,000
Loans from			Stock	25,000	22,000
individuals	–	40,000	Land	20,000	30,000
Loan from			Buildings	50,000	55,000
Bank	30,000	25,000	Machinery	80,000	86,000
Capital	1,48,000	1,54,000	Van	–	25,000
Total	2,14,000	2,59,600	Total	2,14,000	2,59,600

The van was purchased in December 2010, a payment of Rs. 5,000 was made immediately and the balance of the amount is to be paid in 20 monthly installments of Rs. l,000 each, together with interest @ 12% p.a. During the year the partners withdrew Rs. 26,000 for their use. Provision for depreciation against machinery on 31st December 2009 was Rs. 27,000 and on 31st December 2010 was Rs36,000. You are required to prepare the cash flow statement.

15. The capital of Ishita Company Ltd is as follows :

9% Preference shares of Rs. l0 each	Rs. 3,00,000
Equity shares of Rs. 10 each	Rs. 8,00,000
	Rs. 11,00,000

The accountant has ascertained the following information :

Profit after tax at 60% – Rs. 2,70,000, depreciation Rs. 60,000, equity dividend paid 20 per cent, market price of equity shares Rs. 40.

You are required to calculate the following with necessary workings :

(a) The dividend yield on equity shares.

(b) The cover for the preference and equity dividends.

(c) The earnings per share.

(d) The price earnings ratio.

(e) The net cash flow.

DE–3901 **31**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

Third Semester

ORGANISATIONAL BEHAVIOUR

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the fundamental concepts of organizational behaviour?

2. Define personality. What are its major elements?

3. Define communication and bring out the importance of organizational communications.

4. What are the causes of stress?

5. What is organizational design? What are the determinants of organizational design?

6. Specify the factors contributing organizational effectiveness.

7. What is meant by organization development? What are its characteristics?

8. What are the sources of power?

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Explain the global scenario of organizational behaviour.

10. Discuss the importance of perception to organizational behaviour.

11. State the skills required for an effective leader.

12. Explain the factors influencing political behaviour.

13. Describe Lewin's model of change.

14. What is organizational climate? What are the factors affecting organizational climate?

15. What are the barriers to effective communication? How to overcome those barriers?

DE–3902 **32**

DISTANCE EDUCATION

M.B.A.(CS) DEGREE EXAMINATION, MAY 2012.

Third Semester

LABOUR AND INDUSTRIAL LAWS

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State briefly the provisions of the Factories Act, 1948 regarding the hours of work and leave with pay.

2. What defences are available to an employer against a claim for a compensation made by a workman under the Workmen's Compensation Act, 1923?

3. Write a note on the provisions of the Industrial Disputes Act, 1947 relating to lay-off and retrenchment.

4. State the penalties prescribed by the ESI Act, 1948 for contravention of the provisions of the Act.

5. What are the rules relating to nomination by an employee under the Payment of Gratuity Act, 1972?

6. Who is liable for payment of wages and what is his liability in respect of wage periods?

7. State the procedure for the registration of a trade union.

8. What establishments may be exempted from the operation of the Employees' Provident Fund Schemes, 1952?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions

9. Discuss the provisions of the Factories Act, 1948 regarding the health and welfare of the workers.

10. How is the amount of compensation payable to an injured workman calculated under the Workman's Compensation Act, 1923?

11. How are the Inspector appointed under the ESI Act 1948, and what are their functions and duties?

12. Explain the rules as to determination and recovery of the amount of gratuity under the Payment of Gratuity Act, 1972.

13. How is available surplus determined under the Payment of Bonus Act? What part of it can be distributed amongst employees as bonus?

14. Explain briefly how the following authorities are appointed or constituted and their functions:

    (a) Conciliation officers

    (b) Boards of Conciliation

    (c) Labour courts

    (d) Tribunals.

15. Explain the procedure for determination and recovery of moneys due from employers under the Employees' Provident Funds and Miscellaneous Provisions Act, 1952.

DE–3903 **33**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

Third Semester

SECURITIES LAWS AND FINANCIAL MARKETS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)
Answer any FIVE questions.
All questions carry equal marks.

1. Discuss the present scenario of capital markets in India.

2. Explain the role of SEBI in Indian capital market.

3. Write short notes on :

   (a) Sweet equity shares

   (b) Debentures.

4. What is mean by primary market? Explain its significance.

5. What are the functions of stock exchanges?

6. Explain the role and functions of depository.

7. State the types of mutual fund.

8. Explain the SEBI regulations for mutual funds.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Explain the various new instruments introduced in the capital market.

10. Explain the regulatory framework governing Indian capital market.

11. Explain the processes of credit rating agencies in India.

12. Discuss the role of intermediaries in primary market.

13. Explain the rules and regulations of stock brokers and subbrokers framed by SEBI.

14. Define mutual funds. Explain the risk involved in it.

15. Describe the agencies and institutions involved in the secondary market.

DE–3904 **34**

DISTANCE EDUCATION

M.B.A. (C.S.) DEGREE EXAMINATION, MAY 2012.

Third Semester

INDIRECT TAXES

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State the advantages of Indirect taxation.

2. Explain the different bases of excise duty.

3. What are the objectives of CST? Differentiate inter-state sale from intra-state sale.

4. Discuss the procedure for claiming duty drawback under customs Act.

5. List out the objectives of CST.

6. What are the powers and duties of customs officers?

7. Explain the various modes of Assessment under service tax.

8. Who are eligible to avail for CENVAT? State the conditions for availing CENVAT.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What are excisable goods? How goods are valued for assessment under Central excise?

10. Is registration under CST Act compulsory? Discuss the procedural aspects of registration of dealer.

11. Explain the provisions of customs Act regarding levy and exemption from customs duty.

12. Discuss the method of removal of goods from central Excise.

13. Explain the services in respect of which service tax is payable.

14. Enumerate the advantages of VAT.

15. Illustrate the major reforms made in Indirect taxation in the recent years.

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DE–3905 **35**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

Third Semester

COMPANY SECRETARIAL PRACTICE

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the duties of a company secretary at the commencement stage.

2. State the procedure to be followed for issue of duplicate share certificates.

3. When can a director be removed from office? State the procedure for the removal of a director.

4. What rules and regulations govern the concerning and conduct of company meetings?

5. Explain the matters which are required by law to be mentioned in the Director's report.

6. Discuss the position of a company secretary in the winding up of a company.

7. State the provisions of the companies Act 1956 relating to annual return.

8. When is a Board meeting said to be duly convened and properly constituted?

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. State the steps to be taken and formalities to be observed for the incorporation of

   (a) A private company limited by shares

   (b) A company limited by guarantee with a share capital.

10. What do you understand by forfeiture of shares? Describe the secretarial duties in connection with the forfeiture of shares.

11. Enumerate the duties of the secretary with regard to appointment of directors in different circumstances.

12. Draft a notice and agenda for a Board meeting where matters relating to the coming annual general meeting will be considered.

13. What are the statutory books other than the books of account, required to be maintained by the secretary of a public company and state in brief the information to be recorded there in

14. Describe the procedure for members' voluntary winding up. What are the duties of a company secretary in respect of such winding up.

15. Who is role selling agent'? State the restrictions imposed by the companies Act on the appointment of sole selling agents.

DE–3906 **36**

DISTANCE EDUCATION

M.B.A. (Corporate Secretaryship) DEGREE EXAMINATION, MAY 2012.

Third Semester

CORPORATE RESTRUCTURING — LAW AND PRACTICE

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is the need for strategic planning? Enumerate the routes for executing strategy.

2. Write a note on legal aspects of merger and amalgamation.

3. Explain different types of takeover with illustrations.

4. Explain the tax reliefs of demerger.

5. Give the meaning of bail-out takeover. Why is it necessary?

6. Explain the factors in post merger reorganization.

7. What is buy-back? Why is it necessary?

8. Explain the need for corporate restructuring

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the national scenario of corporate restructuring.

10. Explain the procedural aspects in merger and amalgamation.

11. Enumerate the takeover regulations of SEBI.

12. Discuss the different modes of demerger.

13. Write a note on measuring post merger efficiency.

14. Explain the procedure for buy-back of shares.

15. Explain the role of SEBI in takeover.

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DE–3907 **41**

DISTANCE EDUCATION

M.B.A.(CORPORATE SECRETARYSHIP) DEGREE EXAMINATION, MAY 2012.

Fourth Semester

DRAFTING AND CONVEYANCING

Time : Three hours Maximum :100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the legal implications of drafting?

2. List out the basic requirements of deeds of transfer.

3. State the procedure for assigning patents and trademarks of deed.

4. How to draft a petition to appellate authorities?

5. Discuss the importance of visual communication in Report Writing?

6. What points should be considered for writing letter to the editor?

7. Highlight the ingredients of agency contract.

8. What are the advantages of power of attorney? Write the meaning of revocable and irrevocable power of attorney.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Draft the specimen of appointment order for a company secretary.

10. What are the components of Deed of Transfer of property? Discuss in brief.

11. What are the conditions to be written in loan agreement?

12. What is Pledge? What are its essential ingredients? Write a specimen memorandum of pledge of movables.

13. Draft a letter to shareholder, inviting him to discuss his willingness to accept the directorship of your company.

14. Draft a suitable reply to a customer who has complained that the quality of Cement supplied to him was not up to the mark.

15. Write a letter of termination of an agency.

DE–3908 **42**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

Fourth Semester

ECONOMIC LEGISLATIONS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the provisions of grant of license in case of expansion, location, etc. under IDRA, 1951.

2. What are the powers of the Central Government under the Competition Act.

3. State the rights and duties of Authorised Person.

4. Discuss the salient features of water pollution control as reflected by the general scheme of the Act.

5. What restrictions have been imposed an use of certain industrial plants in an air pollution control areas?

6. Highlight the salient features of the Environment Protection Act, 1986.

7. State the procedure the District Forum follows on receipt of a complaint from a consumer.

8. What are the powers of Directorate of Enforcement?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. State the provisions relating to the establishment and constitution of the Central Advisory Council and its functions under the IDRA,1951.

10. What do you mean by combination? What are the procedures for its investigation?

11. Explain the provisions of FEMA and the roles made thereunder with respect to regulation of current account transactions.

12. Discuss the powers and functions of the Boards appointed under the Water (Prevention and Control of Pollution) Act.

13. Write a note on the following:

    (a) State Air Laboratory

    (b) Air Pollutant

    (c) Power of State Board to obtain information

    (d) Control equipment.

14. Describe the role and functions of Environment Tribunal/Authority.

15. How the grievances of the consumers are sought to be protected under the consumer Protection Act, 1986?

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DE–3909 **43**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2012.

Fourth Semester

SECRETARIAL AND MANAGEMENT AUDIT

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the Code of Contact of Company Secretaries in Practice.

2. Bring out the importance of Management Audit.

3. State and explain the needs of Securities Audit.

4. Describe the rights of Management Auditor.

5. Discuss about the Scope of Secretarial Audit.

6. Elaborate the benefits of Cost Audit to various Shareholders.

7. Explain :

   (a) Secretarial Standards

   (b) Compliance Certificate.

8. What are the steps involved in conducting system audit?

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Enumerate in detail the duties and powers of Secretarial Auditor.

10. Critically examine the SEBI Guidelines for preventing fraudulent and unfair trade practice.

11. Narrate the principle and fundamentals of management Audit.

12. State and explain the difference between Cost Audit and Financial Audit.

13. What are the points to be kept mind by management auditor while making management audit in company?

14. What is cost audit report? State the procedure for preparation of cost audit report.

15. Bring out in detail the professional Challenges and Outlook before the company Secretaries in India.

DE–3910 **44**

DISTANCE EDUCATION

M.B.A. (C.S.) DEGREE EXAMINATION, MAY 2012.

Fourth Semester

INTERNATIONAL BUSINESS

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the nature of international business.

2. Analyse the impact of culture on the behaviour of a global consumer.

3. Why do some countries impose control over MNCs?

4. What is economic integration? Explain the different kinds of economic integration.

5. Explain the steps towards globalisation.

6. Enumerate the different issues involved in international business agreement.

7. What are the various instruments of international trade policy?

8. Why the third ministerial meeting of the WTO is failure?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Describe the organisation structure of WTO.

10. Why is international business not a bed of roses? Elucidate your answer with suitable examples.

11. Explain the role of technological changes in the global business.

12. How do you support for the government intervention in formulation of trade policy?

13. Describe the objectives and organisation structure of SAARC.

14. What are the implications of convertibility of rupee on Indian economy?

15. State the procedure for international commercial arbitration.

DE–3911 **45**

DISTANCE EDUCATION

M.B.A.(CS) DEGREE EXAMINATION, MAY 2012.

Fourth Semester

CORPORATE FINANCIAL MANAGEMENT

(2005 Onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. List out and explain the factors affecting dividend policy of a firm.

2. What do you mean by Capital Planning?

3. Define – Debenture. Discuss about the different kinds of debentures.

4. State the different kinds of assistance provided by a commercial bank.

5. What do you mean by MM Theory? List out its significances.

6. Explain about the features of optimum capital structure.

7. "Finance function of a business is closely related to its other function" – Discuss.

8. What do you mean by Walter's Model? State its assumptions.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What is Financial Management? State and explain the objectives of Financial Management.

10. Explain the different sources of capital to present business ventures.

11. Define Working Capital. Discuss the different kinds of Working Capital.

12. What do mean by cost of capital? Sate the importance of cost of capital in decision making process.

13. The shares of EAC Ltd are currently traded at Rs 40 per share. The company's dividend record is as follows:

    2000–01 – Rs. 2.20

    2001–02 – Rs. 2.42

    2002–03 – Rs. 2.66

    2003–04 – Rs. 2.92

    2004–05 – Rs. 3.22

    EAC Ltd. plans to issue new equity shares at Rs 40. The floatation costs are estimated at 5% of the issue price. You are required to determine

    (a) Growth rate in dividends

    (b) Cost of equity capital assuming the growth in dividends will continue at the same rate

    (c) Cost of new equity shares.

14. What are the factors determining the capital structure of a company?

15. The following information is available in respect of MCS Ltd. Capitalization rate is 10%. Earnings per share Rs 40.

Assumed rate of return on investments:

(a) 12%

(b) 10%

(c) 8%

Show the effect of dividend policy on market price of shares applying Walter's formula when dividend payout ratio is

(i) 0%

(ii) 50%

(iii) 100%.